

**Segment 1 : Introduction to the Fundamentals of
Business, Strategy and Strategic
Management**

Topic 4 : Challenges in Strategic Management

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4.1 Introduction

STUDY NOTE

Strategic management ensures the existence of an organisation in a long run.

Strategic management is the continuous planning, monitoring, analysis, and assessment of the needs of an organization to meet its objectives and goals. The changes in the business environment require organizations to continually evaluate their own success strategies. Strategic management is a

process designed to help organizations assess their current situation and an overview of the strategies for its implementation; the analysis of the effectiveness of the management strategy is implemented. It is widely believed that strategic management brings together financial and non-financial benefits. The process of strategic management helps to ensure that the organization thinks and plans for its future existence. Unlike one-time strategic planning, effective strategic management does continuous planning, monitoring and assessment of the organization's activities which increases efficiency, market share, and profitability.

The strategic management model deals with planning, analysing, and assessing different factors and inputs critical for production. It also entails the evaluation, allocation, and exploitation of available resources to achieve specified business objectives. The corporate culture, internal structure, and skills of human resources influence the strategy development process of an organization.

This chapter will explain in detail the use of strategic management in various situations in the organization. From the formation to the implementation and evaluation of the strategy, the organization faces many challenges and hurdles which need the strategic manager's immediate attention. Strategic management's implications and challenges will be discussed in further detail.

Learning Objectives

After studying this chapter, you will be able to:

- Explain strategic management as an organizational force

- Analyse strategic management in various situations of the organization
- Discuss the implications and challenges of strategic management

4.2 Strategic Management as An Organisational Force

Strategic Management:

Managers and strategists have a high degree of responsibility. There's a lot

STUDY NOTE

A strategy is considered a long-term course of action that combines the advantages of the organisation with the environmental challenges.

at stake, from managing internal communication and managing the expectations of the organization to generating good exposure to the brand so that the customer is satisfied. Even the best strategic management leaders struggle with the day-to-day challenges they face in the management of their

teams and their problems; many people are not even aware that such problems exist. This happens because such issues which are non-existent in the beginning, but which can result in serious problems if they are not identified and corrected, which completely negates the organization's efforts.

Strategic management is essential to the development and growth of all organizations. It represents the science of building and constructing short-term and long-term plans aimed at achieving organizational goals. The strategy is naturally linked to the company's mission statement and vision; these elements form the core concepts that allow a company to achieve its goals. The company's strategy must be constantly edited and developed to align with the needs of the external environment.

Because of its importance to the business or company, strategy is often seen as the highest level of management responsibility. Strategies are usually obtained from the company's senior management and are presented to the board of directors to ensure that they meet the expectations of the company's stakeholders. This is especially true of public companies, where profit and an increase in the number of shareholders are the company's main goals.

The results of the chosen strategy are also very important. This is reflected in achieving high levels of strategic alignment and consistency in relation to the external and internal environment. In this way, the strategies enable the company to maximize its internal efficiency while gaining the highest potential in the external environment. Strategic management is the art and science of making, implementing, and evaluating collaborative decisions that enable an organization to achieve its long-term goals. It includes clarifying the organization's purpose, vision, and objectives; developing policies and programs to achieve these goals and allocating resources to implement these policies and programs. Strategic management aims to coordinate and integrate the activities of the various functional areas of the company to achieve the long-term goals of the organization.

Strategic management is the process by which managers make efforts to ensure long-term familiarity with their organization in its environment. Strategic management is not an easy process; it is complicated.

Its severity can be caused mainly by three reasons:

- **Strategic management involves making decisions about the future:**
The future is uncertain. The manager cannot be sure about the future. Therefore, strategic management involves a high level of uncertainty.
- **Managers in different departments in the organization have different priorities:** Managers must reach an agreement to ensure an integrated approach. Strategic management requires an integrated approach, which is difficult to achieve.
- **Strategic management involves major changes in the organization:**
It adheres to changes in organizational culture, leadership, organizational structure, reward system, etc. All of this makes strategic management more complex.

Technology is the main external force that calls for the **management of organizational change**.

The rate of technological change is better today than at any time in the past and technological changes are responsible for changing the nature of jobs working at all levels in the organization. Example Google, Apple etc.

Strategic Management as an Organizational Force

Organizations operate in a dynamic environment. Social, political, economic, and technical events that are external to the organization influence the organization's products, markets, and technology-related choices. Organizational responses to change that occur in the external environment are multifaceted. It covers the fields of marketing, finance, human relations, operations, technology and innovation, leadership, motivation, organization, culture, composition, and systems. Organisational response is based on an analysis of external environmental trends and organizational strengths. Competition has become very fierce in almost all industries. As a result of free trade and financial services, companies are expanding worldwide. Competition, therefore, makes it mandatory for managers to think strategically about the company's status. They also need to think about strategies for the impact of the changing environment. Managers need to monitor the external environment closely to determine when to initiate changes to an existing organizational strategy.

Strategic management works as an organizational force in the following ways:

- Ensures competitive advantage over competitors, as due to its proactive approach the organization will always be aware of the changing environment of the market. Strategists always consider the internal and external environment of the organization so that a competitive edge can be generated.
- Strategic management makes communication and goal implementation organisation wide. A cohesive organization which is working in unison towards a goal is more likely to achieve that goal. It smoothen communication and also brings clarity to the organization about the employee's roles.
- It is all about looking forward towards the future of the organization. When managers do it consistently, they become more aware of the industry challenges and trends. With the help of strategic management, strategic planning and thinking, managers respond to future challenges in a better way.

- Provides better leadership across the organization by utilizing the strategy in the management of the employees. Strategic management facilitates the organization to execute effective strategies to achieve the objective of the organization.
- Makes managers more aware of the winds of change, new opportunities, and emerging threats in the external environment of the organization. In strategic management, an analysis of the environment and ecosystem of the organization is being made; in that case, it helps the organization to be aware of the change, of its opportunities, threats, strengths, and weaknesses.
- Provides the management with reasons for analysing conflicting budget requests for investment funds and new employees. Money as a resource is a big challenge for the organization; in this case, strategic management helps in providing a concrete way to analyse budget and demand as per the requirement and also to utilize all the available resources efficiently and rationally.
- Helps to coordinate multiple strategic decisions about management across the organization. When an organization launches many strategies at the same time, Strategic management plays a keen role in coordinating multiple strategic decisions and allocating tasks to the employees to maintain efficiency.
- Creates an effective proactive management environment. It is important for the organization to be aware of any kind of change or disruption which can harm progress and growth. Strategic management helps the organization to be ready and to formulate strategies which can assist in managing unwanted change or crisis.

4.3 Dealing with Strategic Management in Various Situations

Strategic management plays an important role in the functioning of the organization. In an organization, the operation of these features includes production/operations, marketing, finance, and human resources, commonly

referred to as the functional areas of management. Strategic management plays very important roles in an organization in various situations, as shown in Figure 1:

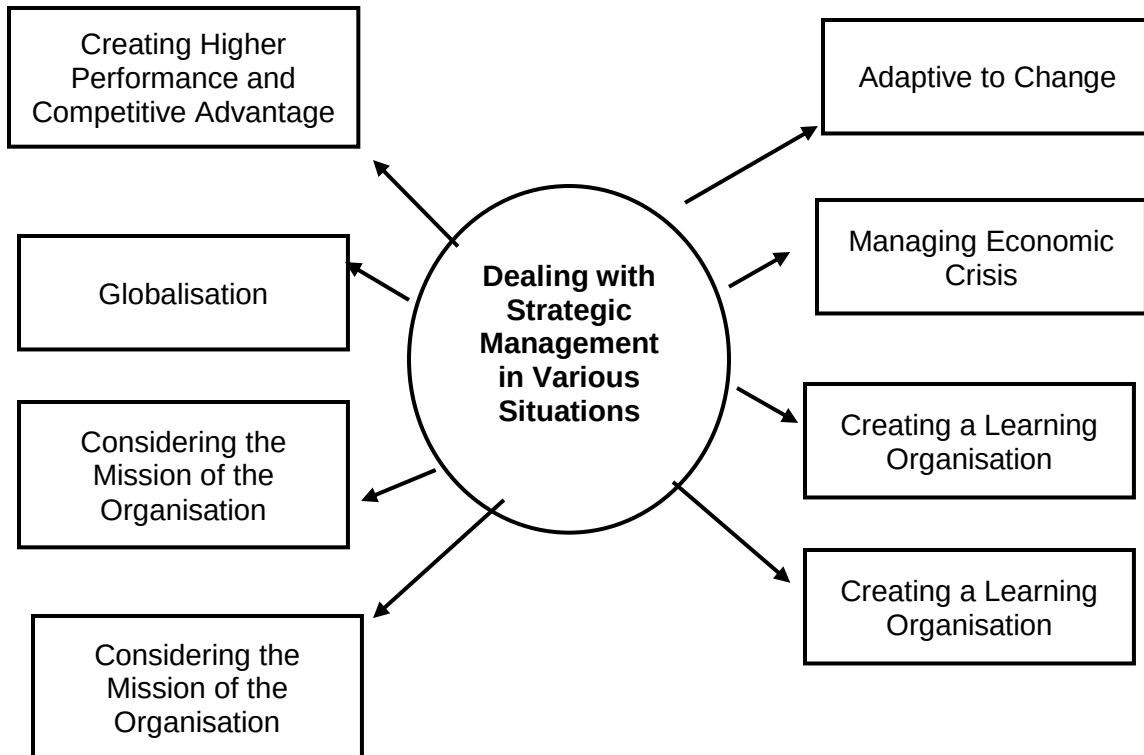


Fig 1: Dealing with Strategic Management in Various Situations

- Strategic vision: The strategic manager points out the organization in a certain direction. The manager plans an orderly strategic course to follow. He then conveys the idea of a strategic plan down the line to the senior management and staff. This has a dynamic value. When strategic managers can identify an encouraging picture of a company's strategic vision, they can stimulate a dedicated organizational effort.
- Strategic leader and decision-maker: Strategic leaders use the strategic management process to help the company achieve its vision and mission. They are determined and committed to nurturing those around them. They create customer value and profits for shareholders and other stakeholders. Changing external circumstances and

priorities for new strategies requires new leadership strategies. It is necessary to use the information better to make good decisions.

- Creating higher performance and competitive advantage: In the business sector, high performance is often considered as profitable for one company compared to other companies in the same type of business or industry. The company's profits can be compared to the profits it makes in business capital. The return on investment earned by the company is defined as its profit rather than the capital invested in the firm.
- Adaptive to change: Strategic management believes that organizations should continue to monitor internal and external events, trends, and disasters in order to make changes in a timely manner where necessary. The scale and magnitude of changes affecting organizations are growing exponentially. This requires strategic managers who allow organizations to adapt to changes over time.
- Managing economic crisis: In an economic crisis, strategic management plays a huge role. Strategic managers develop promising new strategies during recessions, business cycles or economic downturns. Strategic managers develop strategies that can survive today and compete tomorrow.
- Globalization: Strategic management is constantly evolving with global trends and changes. Globalization increases opportunities and challenges. One of the challenges for firms is to understand the need for culturally sensitive decisions when implementing strategic management processes and to anticipate ever-changing difficulties in their decisions and activities. Globalization also affects the construction, production, distribution and supply of goods and services.
- Creating a learning organization: Strategic management plays a crucial role in helping an organization to operate successfully in a complex and dynamic environment. It helps the firms to become less bureaucratic and more flexible to be competitive in constantly

changing environments. Strategic management helps the organization to become a learning organization by catering, acquiring, and transferring skills and knowledge. By adapting to change, fostering creativity, and remaining competitive, strategic managers create a learning organization.

- Considering the overall mission of the organization: The primary role of strategic management is thinking through the overall mission of the organization. This will help in setting the objective and developing strategies. Managers consider the roadmap to achieve the objective of the organization in which strategic management helps.

4.4 Strategic Management Implications and Challenges

Strategic implications are major consequences from the non-tackling impact of forces and dynamics of change, which can impact a business from various angles like political, legal, economic, financial, cultural, social, technological, environmental, and ecological. Strategic planning affects the performance of managers because it directly influences the ability of the strategic plan in getting the commitment and support of the organization's staff to release orders or implementation results for the system. The strategic plan is important for the development of any business organization. It provides the basis for activities in business, thus having a significant impact on the performance of these functions and the entire organization. Some of the most important aspects of strategic planning include vision, purpose, policies, and strategy used in the interest of the organization. In addition, other elements in the organizational planning process include strategic time, business-like variations status, and available course of action and desired results. The aim is to develop a strategic plan that aligns with the established business environment in an accurate assessment of internal and external factors to influence the functioning of the organization.

The challenges and implications of strategic management are as shown in Figure 2:

Challenges in Strategic Management

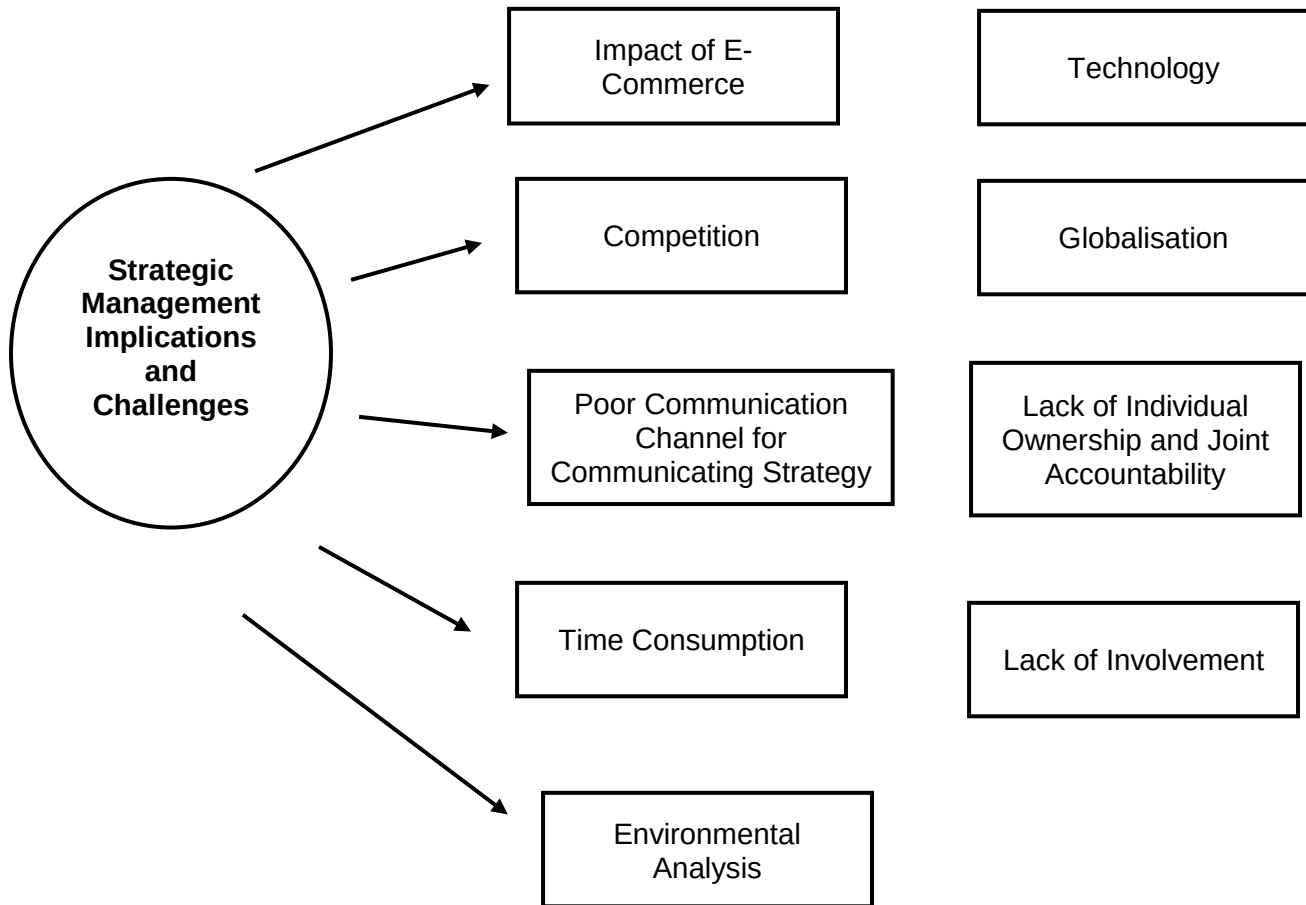


Fig 2: Strategic Management Implications and Challenges.

- **Impact of e-commerce:**
 - a) Increasing usage of the internet is forcing organizations to transform their operating ideas. Conversion of networking with customers, suppliers, investors, and partners is taking place electronically.
 - b) New channels are transforming marketing and branding styles, which is leading to the disintermediation of traditional distribution channels.
 - c) The balance of power is shifting to the side of the customers. As customers have numerous options on the internet, they have

choices to switch from one product to another. This is a challenge for strategic management as strategies are also supposed to be strategic and need to be revised as and when required.

- **Technology:** Technology is one of the big challenges for strategic management. There is a continuous change in technology and to adapt that it always comes up with two-fold challenges: to upgrade employees about it and financial expenses. The challenge is not only to integrate the technology into the strategy but also to do it faster than one's competitors.
- **Competition:** Competition is huge in every single product. Firms are technology-driven, and traditional firms are struggling with using the Internet to become innovative and efficient. In this case, it emerges as a challenge for an organization to survive and at the same time to create a competitive edge. Many times, strategists fail to understand the expectations of the customers and to predict the move of their competitors. As the only challenge is not just to survive and provide the best services to customers but also to analyse the competitors.
- **Globalization:** As organizations aim to offer their product in the international market or globally, it is a challenge to frame a strategy in a way which can suit the international markets. The challenge of globalization for an organization is the global product structure, being competent in working across cultures, in different working environments and across countries, which challenges strategists to design a strategy to cope with all such challenges.
- **Poor communication channels for communication strategy:** Even when the strategy is good in all possible ways if it is not communicated with the employees in the desired framework, the strategy will be a waste. The challenge of not only framing the strategy but also communicating it to the employees is also extremely important. Many times, this creates issues in the organization, and the organisation fails to perform after bad communication and poor understanding.

- **Lack of individual ownership and joint accountability:** Until and unless the employees own the goals and the strategies to achieve those goals, the organization will not survive. This is a big challenge for the organization.
- **Time consumption:** The time consumption, from strategy formulation to strategy implementation is quite high. This negatively impacts the operational responsibilities of managers.
- **Lack of involvement:** Even in the organization and strategy makers are not involved in the implementation of a strategy, it minimizes the responsibility for strategic decisions.
- **Environmental analysis:** The success of strategic management depends on the right analysis of the internal and external environments. It is a challenge for the organization to analyse the environment in detail and to always be precise. If the environment analysis goes wrong due to any reason, one might get the entire strategy to be formulated and implemented wrong.

4.5 Summary

- Strategic management is the planned use of business resources to achieve the company's goals and objectives. Strategic management requires ongoing evaluation of procedures and processes within the organization and external factors that may affect the performance of the company.
- Strategic management requires setting company goals, analysing performance by competitors, reviewing the internal structure of the organization, reviewing current strategies, and ensuring that strategies are implemented across the company.
- Strategic management helps managers choose the best strategy option. After that, it can be internal or external growth of the organisation.
- Strategic management helps the organization to select the best possible strategy to achieve the organisational goal.

- There are certain challenges for strategic management as it is based on few assumptions; if these assumptions remain good, then the strategy will work, otherwise, it will be a failure.
- Many a times organisations fail to analyse the environment; for the success of strategic management, the right analysis of the internal as well as external environment is important.
- As employees become comfortable in their working zone, they may resist change or the level of commitment of the employees may decrease, which is a challenge for the managers.

4.6 Glossary

- **Globalization:** The spread of technology, information, products and services across national borders and cultures.
- **Implication:** Something that is implied or suggested which is to be understood or inferred naturally.
- **Leadership:** A process of social influence, which can maximize the efforts of others or followers for the growth of the organization.
- **Learning:** The acquisition of skills and knowledge through experience, study or being taught.
- **Operations:** Activities that happen within a company to keep it running and working.
- **Proactive approach:** A behaviour which involves acting in advance for a future situation, rather than reacting after something happens.

4.7 Case Study

Strategic Manoeuvres at Bharti Enterprises

The Indian telecom market is one of the fastest growing for mobile telecommunication services. Every three months, a few million subscribers are added to the burgeoning base of telephone service users. For instance, more than 14 million new subscribers were added during January–March 2006, taking the total number of subscribers in India to over 90 million. That

number, in a country with a billion-plus population, is less than 10% of the total population, indicating the huge market potential that would exist for quite some time.

The mobile telecom industry in India is highly competitive with one of the lowest average revenues per unit in the world, thus making it a strategic challenge for the best of companies to operate successfully. Among the market leaders in Bharti Airtel, a company belonging to the Bharati Enterprise group. In 2007, it is the market leader, having a slight edge over the government telecom service provider BSNL and the private service provider Reliance. Bharti's Airtel brand claims to have nearly 32 million subscribers. The businesses at Bharti Airtel have been structured into three individual strategic business units (SBUs): mobile services, broadband, and telephone services, and enterprise services.

Sunil Bharti Mittal, Chairman of the Bharti Group of Industries, is a first-generation entrepreneur from the state of Punjab, who has demonstrated his ability to think big and put ambitious plans into action. His strategic intent for Bharti Airtel is "to create a globally admired telecommunication company. /; The stated vision of Bharti Airtel is /; to be the most admired brand in India by 2010" that will be loved by more customers, targeted by top talent, and benchmarked by more businesses. In March 2006, Manoj Kohli was named the president of the company, to lead the Airtel management board which will have the overall responsibility of driving the strategy and the operational performance. Three joint presidents looking after three SBUs and four functional directors of finance and business integration, IT and innovation, marketing and communication, and networks make up the top executive management at Bharti Airtel.

The group corporate office of Bharti Airtel will focus on the overall business strategy, provide support to the Airtel management board, and conduct periodic reviews and governance. Four of the functional roles at the president's office, i.e., finance, HR, legal, and networks, will be functionally reporting to the corporate office. The corporate strategy of Bharti Enterprises seems to be strategic alliances with global companies for rapid growth in sunrise industries through access to finance and established market brands.

Challenges in Strategic Management

For instance, Bharti Airtel has strategic alliances with Singtel and Vodafone as investors. Ericsson and Nokia are mobile networks equipment partners. Other equipment suppliers include Siemens, Nortel, and Corning. There is an information technology alliance for group-wide information technology requirements with IBM and for call center technology requirements with Nortel. In late 2006, Bharti Enterprises announced its foray into retailing in Alliance with Walmart, where the latter will provide backend logistic support involving sourcing and Bharati will handle the frontend retail aspect the setting up stores across India

Q. Hierarchy of Strategic Intent:

- i. Vision > Mission > Goals > Objectives > Plans
 - ii. Mission > Vision > Goals > Objectives > Plans
 - iii. Plans > Vision > Mission > Goals > Objectives
 - iv. Goals > Vision > Mission > Objectives > Plans
- a. i)
 - b. iii)
 - c. iv)
 - d. ii)

Answer (a)

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